

Tax-Loss Harvesting

Turning Market Volatility into \$100k+ in Tax Savings Range Members

Range

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The Member Situation

Through their careers in entrepreneurship and medicine, Aaron and Victoria had built a sizable portfolio, but they quickly realized that liquidating their investments to fund their life goals could trigger hundreds of thousands in capital gains taxes.

They were looking for a strategy to give them more flexibility and help offset their capital gains taxes when the time came to pay off their home, purchase a new property, or invest in a new business. They were certain there were better ways of making their investments work for them—and that's when they found Range.

Background

Profile

- Aaron: Doctor and entrepreneur
- Victoria: Self-employed artist
- Three children
- Live in California
- Combined annual income: \$500,000
- Net worth: \$9–10 million
- Range Platinum tier (\$5,355/yr)

The couple had built impressive wealth through Aaron's career as a physician and entrepreneur, but their investment strategy hadn't kept pace with their financial sophistication. Their portfolio consisted primarily of individual tech stocks and target date funds with no cohesive strategy for managing risk, optimizing taxes, or ensuring proper diversification.

Their conclusion: Aaron and Victoria needed to consolidate their portfolio into a direct indexing strategy to increase their opportunities to offset future capital gains, while continuing to grow their portfolio.

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Our Discovery Process

Our team conducted a comprehensive analysis that went far beyond surface-level portfolio management:

The Plan

Complete Financial Integration. We examined how their entire financial picture—company equity, retirement accounts, taxable investments, real estate plans, and private investment opportunities—could work together to minimize taxes while achieving their goals.

Portfolio Risk Assessment. We discovered concentration risk in their taxable accounts, with heavy exposure to individual tech stocks and speculative investments that didn't align with their risk profile and time horizon.

Hidden Tax Opportunity Analysis. Most critically, we identified how systematic tax-loss harvesting through direct indexing could use market volatility as a powerful wealth-building tool—potentially generating hundreds of thousands in deductible losses while maintaining their target market exposure.

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Building Direct Indexing & Tax-Loss Harvesting Strategies

The conventional wisdom suggests that investors should simply "hold through volatility" in index funds. However, Range employs a powerful alternative approach that would allow Aaron and Victoria to maintain their desired market exposure while harvesting significant tax losses.

The Details

Direct indexing replaces traditional index funds with ownership of the individual stocks that comprise the index. This seemingly simple change can potentially unlock large tax-saving opportunities.

Rather than owning a single fund that tracks an index (like the S&P 500 or international indexes) as one position, direct indexing allows investors to own the underlying stocks individually—whether that's 500 US stocks, international equities, or a combination across global markets.

When individual stocks decline—which happens constantly even in rising markets—those specific positions can be sold to harvest tax losses while immediately purchasing similar (but not identical) stocks to maintain market exposure.

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Building Direct Indexing & Tax-Loss Harvesting Strategies

Direct indexing primes your holdings for **tax-loss harvesting**. Here's how that automated process works:

The Details

Tax-Loss Harvesting:

- 1. Continuous Monitoring** - Track all positions for loss opportunities.
- 2. Harvest Losses** - Sell securities that fall within strategic loss thresholds determined by their overall volatility and tax status.
- 3. Maintain Exposure** - Immediately reinvest in similar securities to keep proper diversification.
- 4. Avoid Wash Sales** - Wait at least 30 days before buying a “substantially identical” security to ensure IRS compliance.

Together, these strategies have helped Aaron and Victoria harvest approximately \$355,000 in realized losses since they joined Range in 2024 without drifting from their target market exposure so they could continue capturing market returns.

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Transforming Liquidity Needs into Tax-Free Events

When the time came to liquidate funds for major financial moves, the harvested losses completely transformed their tax equation.

The Impact

Home Purchase & Mortgage Payoff: Selling positions with substantial capital gains is now projected to be a tax-free event, as their harvested losses more than offset the gains. They could access the liquidity they needed without paying a penny in federal capital gains taxes.

Investing in a New Business: When an attractive private investment opportunity arose, Aaron and Victoria were able to deploy capital immediately without worrying about the tax consequences—again, shielded by their inventory of harvested losses.

Ongoing Concentration Management: With approximately \$117,000 in realized losses remaining after both of these transactions, Aaron now has a powerful tool for diversifying his concentrated tech stock positions in a tax-efficient manner going forward.



Before our Analysis

Before implementing our recommendations, this was their projection:

Base Case

Portfolio Allocation	Concentrated tech stocks and target-date funds
Tax Optimization Strategy	None
Projected Capital Gains from Planned Liquidations	\$237,748
Harvested Tax Losses	\$0
Net Tax Cost of Liquidity Needs	\$237,748 in taxable gains

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After our Analysis

After implementing our recommendations, this was their outcome:

Base Case

Portfolio Allocation	Diversified direct indexing with custom exclusions
Harvested Losses Since Joining Range	-\$355,000
Capital Gains from Liquidations	\$237,748
Net Projected Tax Impact of Liquidations	\$0 (tax-free)
Remaining Loss Carryforward	-\$117,252
Projected Tax Savings at 37% Rate	~\$88,000+

Strategic tax planning and projections, equity comp planning, and real estate planning are only available to Platinum and Titanium tiers.

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An Automated Strategy With Major Results

This is the power of systematic tax-loss harvesting at scale—turning volatility, one of investing's few guarantees, into permanent wealth creation. The results speak for themselves:

Transformed a concentrated, tax-inefficient portfolio into a diversified strategy with flexibility for big family moves.

Harvested \$355,000 in tax losses since joining Range in 2024, turning volatility into wealth-building advantage while maintaining target exposure through direct indexing.

Completed major transactions—home purchase, mortgage payoff, and private investments—with net zero projected capital gains taxes, saving an estimated \$88,000 in federal taxes on \$237,748 in gains.

Unlocked potential for \$340,000 in additional wealth after 20 years (assuming 7% annual returns) by keeping ~\$88,000 invested instead of paying it in taxes. That's what we like to call Tax Alpha.

Amassed \$117,000+ in loss carryforwards to offset future gains while unwinding concentrated tech positions—enabling a quicker and more tax-efficient decrease in concentration risk.

Gained ability to offset up to \$3,000 in ordinary income annually (typically taxed at higher rates than long-term capital gains).

Established a comprehensive wealth management system: retirement planning, charitable giving optimization, alternative investment evaluation—all coordinated for maximum tax efficiency.

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Implement These Strategies With Range

This household's six-figure results are just one example of how Range's tax-loss harvesting and direct indexing strategies have helped members maximize their wealth.

In 2025, Range portfolios with direct indexing harvested an average of \$18k+. At a 37% tax rate, this translates to over \$6,000 in tax offsets per household.*

What You Get

Exclusive Access: Through our partnership with Altruist, Range members get access to direct indexing portfolios with automated tax-loss harvesting.

Diverse Markets: Invest in direct indexing portfolios across the global markets: US Large-Cap, US Mid-Cap, US Small-Cap, and International.

Low Fees: Access is included in Range Platinum and Titanium for portfolios ranging from .12% - .22%.¹

Professional Management: Range handles all portfolio construction and rebalancing on your behalf.

Want to know what these strategies could do for you? [**Become a Range member today.**](#)

¹ Based on all Range Advisory taxable accounts active in 2025 holding Altruist's Strategist Direct Indexing Portfolio, regardless of account open date or account size, with the average taxable account size being \$571,795 (across 290 accounts), between Jan 1, 2025 and Dec 31, 2025: average realized losses were \$18,281; with \$6,764 in estimated tax offsets assuming a 37% effective tax rate. Actual tax outcomes vary and aren't guaranteed; loss benefits generally apply only to the extent losses offset capital gains (and up to \$3,000 of ordinary income).

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